PAPER 6B · 50 MARKS

The Boardroom

Where are we going, and what makes that defensible?

Strategic Management. Strategic intent and levels, external and internal analysis, the choice of strategy and the matrices that structure it, then implementation, control and performance measures.

5	5	16	10,437
SECTIONS	ATTEMPTS	SEALED ANSWERS	WORDS

Unit 1 — Introduction to Strategic Management

Section B is 50 marks and the shortest syllabus in Group II. It is also the easiest half-paper in this group to score well on, for one reason: almost every answer is a **named framework applied to the facts of a scenario**. Learn to

draw the frameworks, learn the three-move answer shape below, and the marks follow.

How this paper is marked — apply this to every unit

1. **Name the framework and say why it fits.** One sentence. "The company is choosing between existing and new products in existing and new markets, so Ansoff's Matrix is the tool."
2. **Apply it to the facts you were given.** Take the specifics — the growth rate, the market share, the loss-making unit, the promoter's remark — and place each inside the framework. Quote the fact, then say what the framework makes of it. Most of the marks live here.
3. **Conclude with a recommendation.** Which option does the analysis point to, and why. An answer that analyses and never decides is unfinished.

EXAM TRAP

Describing the framework instead of applying it to the scenario

The single largest source of lost marks in Section B. A question gives a company with

> four business units and asks you to advise; the answer explains what the BCG Matrix is, names the four cells, and stops. The examiner has no fact of the case to award against. Write the framework in a line or two, spend the rest on the company in front of you — naming units, figures and stages — and finish with the recommendation.

Meaning and nature of strategic management

Strategic management is the process by which management decides the organisation's long-term direction and scope, chooses the businesses and markets it will compete in, allocates resources to that choice, and puts the structures and controls in place to make it happen — in an environment it does not control.

Four questions define the process, and they are the spine of the section:

QUESTION	WHERE IT IS ANSWERED
Where are we now?	Units 2 and 3 — external and internal analysis
Where do we want to be?	Unit 1 — strategic intent
What are our options, and which do we take?	Unit 4 — strategic choices
How do we make it happen, and how do we know it is working?	Unit 5 — implementation, control, measures

Its **nature**, as an answer should state it:

- It concerns the **whole organisation** and the long term, not a department and not a year.
- It is about **choice**: what to do, and equally what to give up.
- It is **continuous and iterative**, not an annual document. Strategy is partly deliberate and partly emergent — what a firm does is rarely exactly what it planned.
- It is done under **uncertainty**, so it deals in judgement, not computation.
- It is both **analytical** (frameworks, data) and **behavioural** (leadership, culture, resistance), which

is why Unit 5 exists.

- It is **top management's** responsibility, but needs the whole organisation to execute.

Importance. It gives a direction against which smaller decisions can be tested; makes the firm proactive rather than reactive; provides the basis for allocating scarce resources; improves coordination, because units pull the same way; anticipates change instead of improvising; gives management something to control against; and builds advantage that lasts.

Limitations. The environment is uncertain, so the forecasts it rests on can be wrong; it costs money and senior management time; over-formalised, it produces plans nobody uses; a plan treated as sacred creates rigidity in a market that has moved; good strategies still fail in execution; and the benefits are long-term and hard to attribute, so management under-invests in them.

REMEMBER THIS

> Strategy is a choice about direction and scope made under uncertainty — never a forecast, and never a plan that binds.

> Describing strategic management as "long-term planning" understates it and loses the mark. The distinguishing features are **choice** (options were rejected), **scope** (the whole organisation, and which businesses it is in) and **environment fit** (internal capability matched to external conditions).

Strategic intent — vision, mission, goals, objectives, values

Strategic intent is the umbrella term for what the organisation stands for and stretches towards. It is expressed through five things, and the exam separates them relentlessly.

ELEMENT	QUESTION IT ANSWERS	HORIZON	TEST OF A GOOD ONE
Vision	What do we want to become?	Long, aspirational	Short, ambitious, future-tense, memorable, stretches the firm
Mission	Why do we exist, what business are we in, for whom?	Present	States the customer group, the need served and the means used
Goals	What broad outcomes must we achieve to get there?	Medium, open-ended	Derived from the mission; qualitative direction

ELEMENT	QUESTION IT ANSWERS	HORIZON	TEST OF A GOOD ONE
Objectives	What exactly, by how much, by when?	Specific and dated	Measurable, time-bound, assigned to someone
Values	How will we behave while doing it?	Permanent	Few, non-negotiable, actually constrain decisions

The hierarchy runs **vision → mission → goals → objectives**, with values cutting across all four as a constraint on means. A mission that does not narrow the business is useless: "to serve humanity" tells nobody which products to launch. An objective with no measure in it is a goal wearing the wrong label.

> ***Verify:*** *the goals-versus-objectives boundary is drawn slightly differently across editions of the Study Material — some treat goals as open-ended and objectives as close-ended and time-bound, others use the words more loosely. Use your attempt's Study Material wording.*

ANSWER LADDER

A promoter says: "Our mission is to become the most admired logistics company in India." Comment.

WOULD LOSE MARKS

The mission statement is good because it is short, ambitious and sets a clear target to work towards.

PASSING

The statement is a **vision**, not a mission. It describes an aspirational future state and says nothing about what business the firm is in, whom it serves, or how. A mission must define the business: customer group, need met, means used.

FULL MARKS

The same identification, plus the correction and its consequence. As a mission it would read closer to "to move time-critical freight for Indian manufacturers reliably at the lowest cost per tonne-kilometre, using an owned fleet and a digital tracking platform". The distinction is operational, not semantic: objectives and resource allocation are derived from the mission, so a firm with only a vision has nothing to translate into targets and each unit fills the gap its own way. **Recommendation:** keep the sentence as the vision and write a

separate mission defining customer, need and means, from which annual objectives follow.

Strategic levels in organisations

Four levels, each with its own question. **Network** is the level candidates omit, and it is named first in the syllabus.

```
NETWORK LEVEL       the firm plus its alliances, joint ventures, franchisees,
     |              outsourcing partners, platform and supply-chain partners
     |              Q: with whom do we cooperate, and what stays inside the firm?
     v
CORPORATE LEVEL     the whole group / the multi-business firm
     |              Q: which businesses should we be in, and how do we allocate
     |                 resources between them?
     v
BUSINESS LEVEL      one strategic business unit, one product-market
     |              Q: how do we compete and win in this particular business?
     v
FUNCTIONAL LEVEL    marketing, operations, finance, HR, IT, procurement
                    Q: how does each function deliver the business strategy?
```

- **Network** strategy operates across organisational boundaries. The firm is one node in a web of partners, so the decisions are which partners to hold, what to keep in-house and what to source, how value and risk are shared, and how control works without ownership. Franchising, joint ventures, contract manufacturing and platform ecosystems are network-level questions.

- **Corporate** strategy is the portfolio: which businesses, entry and exit, diversification, resources shared across units. Unit 4's BCG and GE matrices are corporate tools.
- **Business** strategy is about competing in one business; Porter's generic strategies are the business-level tool.
- **Functional** strategy converts that into functional decisions and targets, and is where implementation bites.

QUICK RECALL

Which level answers "should we exit cement and put the money into logistics?"

Corporate — a portfolio question about which businesses the group should be in. "How do we beat the two rivals in cement?" is business level; "should we lease the fleet from a partner rather than own it?" is network level.

PRINCIPAL

> They have four levels on their strategy slide. Name them.

YOU

> Corporate, business and functional.

PRINCIPAL

> You have just dropped the level that decides whether they own the warehouses or rent them from their partner.

MARGIN NOTE

> *Four levels are expected, and Network needs a defining line about strategy across organisational boundaries — alliances, joint ventures, franchisees, outsourced partners.*

PRACTISE IT

Distinguish vision, mission, goals, objectives and values, giving a one-line illustration of each for a city bus operator.

MODEL ANSWER

Compare against what a full-mark answer contains

Separate all five on **question answered, horizon and testability**, and illustrate

each rather than defining it twice.

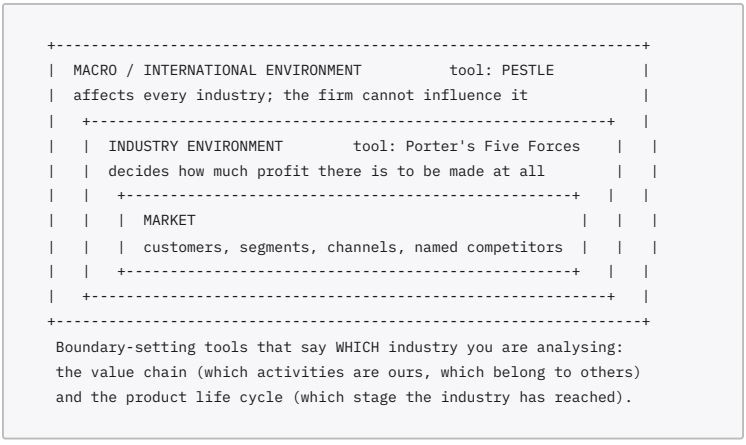
- **Vision** — what we want to become. "To be the city's first choice for daily travel." No measure.
- **Mission** — why we exist and for whom. "To move commuters across the city safely, on schedule and at a fare they can afford, on a clean fleet." Customer, need, means.
- **Goals** — broad outcomes required. "Improve schedule reliability." Direction, no number.
- **Objectives** — the same goal made specific. "Raise on-time departures from 82% to 95% within eighteen months." Measurable, dated, owned.
- **Values** — how we behave regardless. "Passenger safety is never traded against schedule."

Two marks sit on the relationships: objectives come from goals, goals from the mission, the mission serves the

vision, values constrain the means at every level. Marks are lost by writing a vision in the mission row, or an objective with no number in it.

Unit 2 — Strategic Analysis: External Environment

External analysis answers one question: what is happening outside the firm that it does not control but must respond to. It works in three layers, and the tool changes with the layer.



PESTLE — the macro and international environment

Six heads. Name them, then attach the question's facts to each; an empty head is better left out than padded.

HEAD	WHAT IT COVERS	GENERIC ILLUSTRATION
Political	Government stability and stance, policy direction, taxation and subsidy, trade and industrial policy	A state announcing an incentive scheme for electric fleets

HEAD	WHAT IT COVERS	GENERIC ILLUSTRATION
Economic	Growth, inflation, interest and exchange rates, incomes, employment, credit, commodity prices	Rates rising for a business that sells on consumer finance
Social	Demographics, urbanisation, education, lifestyle, health awareness, attitudes to brands	Smaller households shifting demand to single-serve packs
Technological	New products and processes, automation, digital platforms, obsolescence, R&D intensity	A distributor facing platform aggregators
Legal	Enacted law and compliance — company, labour, competition, consumer, data protection, licensing	New product-labelling requirements
Environmental	Climate and weather, resource scarcity, emissions and waste rules, sustainability expectations	A monsoon-dependent input for an agri-processor

Political against Legal is the distinction examiners test: political is the *stance and direction* of government, legal is *enacted law you must comply with*. A proposed policy is political; a notified statute is legal.

For the **international environment**, PESTLE is run **country by country**, plus the factors that exist only across borders: trade policy and tariffs, exchange-rate exposure, limits on repatriating profits, local-content and ownership rules, cultural distance, and differences in infrastructure and enforcement.

What the manager does with the output. Classify each factor as an opportunity or a threat, rank it by impact and probability, and carry only the material ones into the O and T of the SWOT in Unit

1. A PESTLE that ends as a list of headings has done nothing.

REMEMBER THIS

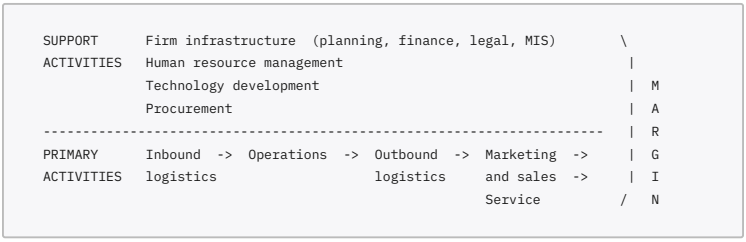
PESTLE describes the environment; Five Forces explains the profit in it. They are not substitutes and the exam expects the right one.

Government policy, demographics, technology or exchange rates: PESTLE. Why

> margins in this industry are thin, who captures the value, whether to enter: Five Forces. An industry facing a new regulation may need both — PESTLE to identify the change, Five Forces to work out what it does to industry profitability.

Defining the industry for analysis — the value chain

The **value chain** (Michael Porter) splits the firm's activities into those that create the product and those that support them, so that value added and cost can be traced activity by activity.



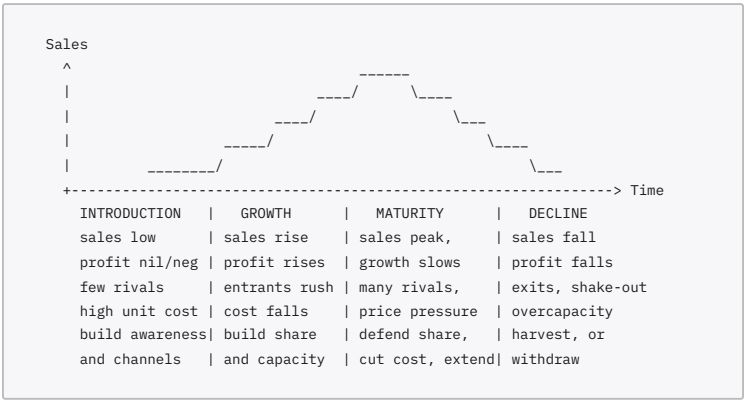
Five primary activities — inbound logistics, operations, outbound logistics, marketing and sales, service. Four support activities — firm infrastructure, human resource management, technology development,

procurement. What the buyer's price leaves after the cost of all of them is the **margin**.

Used in *external* analysis it sets the industry boundary: extend the chain back into suppliers and forward into channels and buyers and you can see which activities the industry actually owns, where value is added, and therefore whose profit pool you are analysing. Two firms that claim the same industry may occupy different spans of the same chain. The internal use of the tool — cost and differentiation drivers inside the firm — belongs with resources and capabilities in Unit 3.

What the manager does with the output. Decide which activities to own and which to outsource, where to attack cost, and which activity is the real source of differentiation.

Defining the industry for analysis — the product life cycle



What the manager does with the output. The stage predicts the intensity of competition, whether the business absorbs or releases cash, and which strategies are even available — share-building in growth, cost and differentiation defence in maturity, harvest or exit in decline. It is also one axis of the ADL Matrix and sits behind BCG's growth axis in Unit 4.

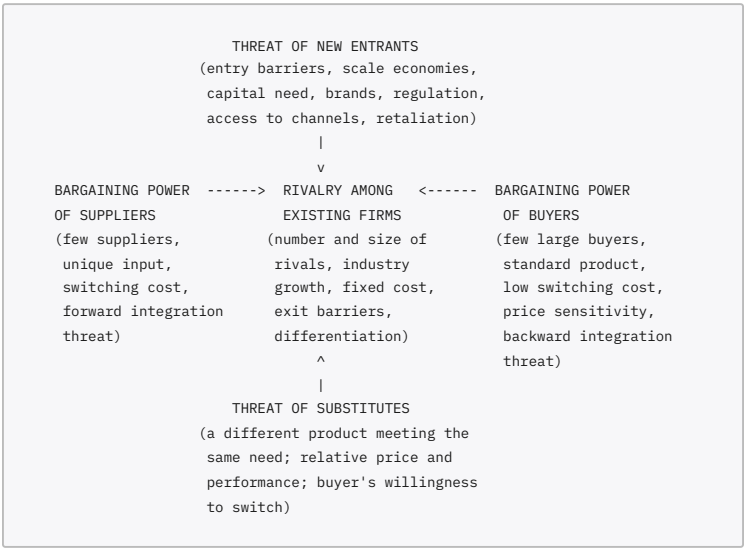
EXAM TRAP

Reading the life cycle off the company's own sales instead of the industry's

The PLC describes a product or industry, not a firm. A company whose sales are falling in

> a growing industry is losing share, not facing decline, and the two need opposite strategies — a competitive response, not harvest or exit. Check the industry growth figure the question gives before naming a stage.

Porter's Five Forces — industry environment analysis



The five forces collectively determine **how much profit is available in the industry**, not how well one firm is doing. Strong forces compress margins for everyone; weak forces leave a pool worth entering.

What the manager does with the output. Three decisions: whether to enter or exit; where to position so as to face the weakest forces; and which force to weaken — switching costs against buyer power, long-term contracts or backward integration against supplier power, brand and scale to raise entry barriers.

PRACTISE IT

Draw Porter's Five Forces and give two determinants of each force. Then say what the model tells a firm that the PESTLE analysis cannot.

MODEL ANSWER

Compare against what a full-mark answer contains

Draw the five with rivalry in the centre, give two credible determinants each, and close on purpose rather than repeating the diagram.

- **New entrants** — height of entry barriers (capital, scale, brand, licences); expected retaliation.
- **Suppliers** — supplier concentration relative to the industry; uniqueness

of the input and the cost of switching.

- **Buyers** — buyer concentration and volume per buyer; a standardised product with low switching cost, making price the only variable.
- **Substitutes** — relative price and performance; the buyer's propensity to switch.
- **Rivalry** — number and size of competitors; industry growth rate.

The closing point earns the last mark: PESTLE tells you what is changing; Five Forces tells you **what that change does to this industry's profitability and who captures the value**. Only the second answers "should we be in this business, and how do we position?"

QUICK RECALL

A firm says its industry has "only two competitors, so competition is low." What has it missed?

Four of the five forces. Buyers and suppliers can compress its margin without any competitor acting, a substitute product can take the demand away entirely, and a concentrated, profitable industry invites entrants. Rivalry is one force of five.

Understanding customers and markets

The industry sets the profit pool; market analysis says whose money it is.

- **Segment** on a basis that changes buying behaviour — geography, demographics, income, usage rate, benefit sought, industrial buyer size or application.
- **Separate the roles**: who decides, who uses and who pays are often three parties, and the marketing follows whoever decides.
- **Establish the buying criteria** per segment, and which of them wins the order rather than merely qualifying

the firm — price, availability, quality, service, brand, credit.

- **Size the segment** and **check the channel**: size, growth and profitability; who controls the route to the customer and what it takes of the price.

Competition in the industry

Competitor analysis is specific, not general. For each significant rival establish four things: its **objectives** (share, margin, survival), its **assumptions** about the industry, its **current strategy** and the **capabilities** behind it. Together they predict how it will respond to what you plan to do, which is the point.

Then place the rivals: **direct** competitors serving the same segment with the same product, **substitute** competitors meeting the same need differently, and **potential** entrants. Firms with similar strategies and resources form a **strategic group**, and rivalry inside a group is sharper than between groups, so the group constrains a firm's options more than the industry average. Note the **basis of competition** too: where rivals compete on price, margins fall; on differentiation and service, margins can hold.

ANSWER LADDER

A packaged-snacks company reports that industry sales are growing 12% a year, its four rivals are all expanding capacity, retailers are consolidating into three large chains, and a low-cost imported substitute has appeared. Analyse the industry.

WOULD LOSE MARKS

The industry is attractive because it is growing at 12% a year, though there is competition from four rivals and imports.

PASSING

Applies Five Forces to the facts. Rivalry is high — four rivals adding capacity in an industry with high fixed costs. Buyer power is rising because three chains now control retail access. The substitute threat is real and price-based. Growth of 12% places the industry in the growth stage, which explains the capacity additions and the entrants. Concludes that profitability will be squeezed despite the growth.

FULL MARKS

The same, force by force with the fact named against each — and only the facts given. Note what the passing answer quietly added: **high fixed costs** and **entrants** appear nowhere in the question, and the marker cannot award an invented determinant, however plausible. Rivalry is high on the stated facts alone: four rivals, all adding capacity. Supplier power cannot be assessed on these facts at all and should be flagged, not filled in. The 12% growth is what makes rivalry survivable for now, because demand is absorbing the new capacity — so the danger point is the moment growth slows and that capacity turns into a price war. **Recommendation:** use the growth phase to build a differentiated position and shelf relationships with the three chains before retail consolidation completes, rather than matching capacity; and answer the imported substitute on quality and freshness, not price, which is the substitute's own ground.

PRINCIPAL

> Their five-forces answer runs three pages and never mentions the company.

YOU

> It covers all five forces properly, though.

PRINCIPAL

> Then it is a definition, and definitions are worth two marks out of eight.

MARGIN NOTE

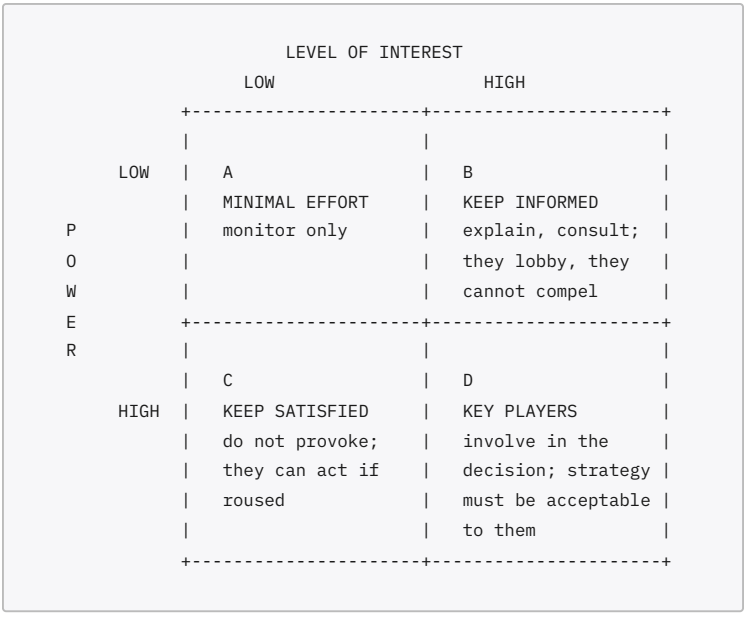
> *Name the rival, quote the growth rate, cite the three chains. A force you cannot assess from the facts should be flagged as such — that earns more than an invented determinant.*

Unit 3 — Strategic Analysis: Internal Environment

Internal analysis asks what the firm has, whom it must satisfy, and what it can do better than anyone else. It ends by joining Unit 2's external findings to the internal ones in a SWOT, then converting that into a competitive position.

Understanding key stakeholders — Mendelow's model

A **stakeholder** is any party with an interest in what the organisation does: shareholders, lenders, employees, customers, suppliers, government and regulators, communities. Their expectations conflict, so the firm must know whose bind. Mendelow's model maps them on two dimensions — **power** (ability to influence the strategy) and **interest** (how much they care about it).



- **A — low power, low interest:** minimal effort; monitor in case they move.
- **B — low power, high interest:** keep informed. They cannot stop the strategy but they can make noise, and an informed supporter is useful — a community group, a small shareholder body.
- **C — high power, low interest:** keep satisfied. Dangerous precisely because they are currently indifferent: one decision touching their interest moves them to D. A large lender is the standard case.
- **D — high power, high interest:** key players. The strategy must be acceptable to them, so they are involved before it is settled, not informed after.

What the manager does with the output. Choose an involvement strategy per quadrant and test any proposed strategy for **acceptability** to the key players before committing. Positions are not permanent — a decision can raise a stakeholder's interest, and management can move a stakeholder deliberately by sharing information or granting representation.

EXAM TRAP

Mapping stakeholders by how important they feel rather than by power and interest

Employees are always "very important", so they land in the key-player box by default. Power is the ability to influence or block the strategy; interest is how much this decision affects them. Unorganised employees facing a plant closure have high interest and low power — "keep informed" is the answer, and saying so earns the mark. The axes are power and interest, not power and *influence*.

Strategic drivers

Five drivers determine where a strategy can go. Treat each as a question about the firm's position:

- **Industry and markets** — which industries and segments is the firm in, how attractive are they, and are they growing or consolidating?
- **Customers** — which groups does it serve, how concentrated and loyal are they, and how profitable is each?
- **Channels** — how does it reach them, who controls the channel, what does the channel cost, and can the firm reach the customer directly?
- **Products and services** — what is the range, where is each item in its life cycle, and how differentiated is it?
- **Competitive advantage** — what does the firm do better than rivals, and will that hold?

Their use is diagnostic: changing one driver silently changes the others. Moving to direct online distribution changes the channel, and with it the customer relationship, the viable product range and the basis of advantage.

Resources and capabilities

Resources are what the firm **has**; capabilities are what it can **do** with them.

LAYER	MEANING	EXAMPLES
Resources	Stock of assets, tangible and intangible	Plant, cash, patents, brand, licences, data, people
Competences	Activities the firm performs reliably	Running a plant efficiently; settling a claim in a day
Core competences	The few competences central to the strategy that distinguish the firm	An engineering skill rivals cannot match; unreplicable distribution reach

Resources are classified as **tangible** (physical, financial), **intangible** (brand, reputation, intellectual property, data, culture) and **human** (skills, experience, relationships). The intangible ones are usually the durable source of advantage, being hardest to buy.

A resource or capability produces a **sustainable** advantage only if it is **valuable** to customers, **rare** among competitors, **hard to imitate** and **hard to substitute** — and the firm is organised to exploit it. A superb capability the firm is not structured to use is a wasted asset, which is the Unit 5 problem.

QUICK RECALL

A firm's advantage is that it owns the only cold-storage network in a region. Is that sustainable?

Only until someone builds another one. It is valuable and currently rare, but imitability decides sustainability — if a rival can fund and construct the same network, the advantage lasts as long as the construction period. A capability built on accumulated skill, relationships or data lasts longer than one built on an asset that money can buy.

Combining external and internal analysis — SWOT

```
                    HELPFUL                  HARMFUL
                 to the objective          to the objective
          +------------------------+------------------------+
INTERNAL  |  S  STRENGTHS          |  W  WEAKNESSES         |
origin    |  what we have and do   |  what we lack or do    |
(Unit 3)  |  better than rivals    |  worse than rivals     |
          +------------------------+------------------------+
EXTERNAL  |  O  OPPORTUNITIES      |  T  THREATS            |
origin    |  favourable conditions |  adverse conditions    |
(Unit 2)  |  we could exploit      |  we must defend against|
          +------------------------+------------------------+

Generating strategy from the grid — pair the cells:
  S + O  use strengths to seize opportunities   (the aggressive option)
  S + T  use strengths to defend against threats
  W + O  fix or fund a weakness to reach an opportunity
  W + T  the survival quadrant: retrench, exit or partner
```

Three disciplines separate a SWOT that scores from a list that does not. **Strengths and weaknesses are internal and comparative** — measured against competitors, not in the abstract; a 20% margin is a strength only if rivals earn less. **Opportunities and threats are external and outside the firm's control**; "we should launch a new product" is a strategy, not an opportunity. And the same fact can appear twice: reliance on one large customer is a strength in volume and a weakness in dependence.

What the manager does with the output. Pair the cells to generate candidate strategies, then evaluate them

with the Unit 4 tools. A SWOT that stops at four lists earns half the marks.

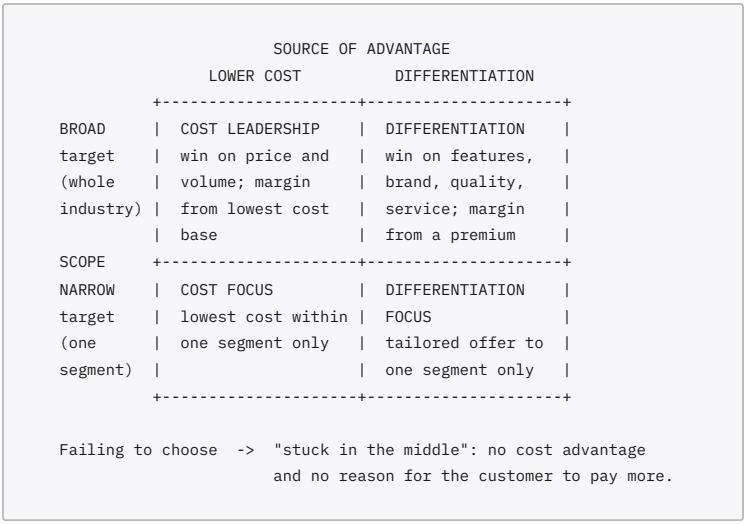
REMEMBER THIS

A SWOT is a bridge, not a list. Its output is the pairs — SO, ST, WO, WT — and each pair is a candidate strategy.

In a scenario the four lists earn the first half of the marks; the strategies drawn from pairing them, and the recommendation, earn the second. Tie every item to a fact in the question.

Gaining competitive advantage — Michael Porter's generic strategies

Porter argues advantage has only two sources — being the **lowest cost** producer or being **differentiated** — pursued either across a **broad market** or in a **narrow segment**. Two dimensions, four boxes.



STRATEGY	NEEDS	FAILS WHEN
Cost leadership	Scale, high utilisation, tight overhead control, process efficiency, cheap inputs	A rival finds a lower cost base, technology resets the cost curve, or cost cuts damage the product
Differentiation	A feature customers will pay for; brand, quality or service capability	The premium exceeds what buyers will pay, imitation erodes the difference, or it stops mattering

STRATEGY	NEEDS	FAILS WHEN
Cost focus	Deep knowledge of one segment and a cost structure suited only to it	The segment is too small, or a broad cost leader serves it well enough
Differentiation focus	A segment with distinct needs, willing to pay to have them met	Its needs converge with the mainstream, or a broad player targets it

What the manager does with the output. Commit. The model's value is that it forces a choice and rules out being mediocre on both dimensions; the firm then aligns its value chain to the cell it picked, since a cost leader and a differentiator do not need the same activities.

ANSWER LADDER

A regional garment maker sells mid-priced clothing through its own stores. It has no scale advantage against national brands, and its prices are above the local unbranded tailors. Sales are flat. Advise on competitive positioning.

WOULD LOSE MARKS

The company should reduce its costs and also improve its product quality so that it can compete with both the national brands and the local tailors.

PASSING

Identifies the firm as stuck in the middle under Porter's generic strategies — neither lowest cost, since it lacks scale against the national brands, nor differentiated, since it sells mid-priced clothing with no distinguishing feature. It must choose one of the four cells rather than sit between them.

FULL MARKS

The same diagnosis with the facts named, then a reasoned choice. Cost leadership is unavailable: the national brands hold the scale and the unbranded tailors the lower overhead, so a firm this size cannot win on cost across the industry, which rules out both broad-market cells. Its real assets — its own stores and its regional presence —

are segment assets, so the viable cells are the focused ones, most plausibly **differentiation focus:** a defined regional segment served with fit, local styling, alteration and exchange service that neither a national brand nor a tailor can match at that price. This is also why "cut cost and raise quality" is wrong; it deepens the stuck position by spending on both dimensions at once.
Recommendation: adopt differentiation focus on the regional segment, realign the value chain to service and fit rather than volume, and accept a smaller addressable market as the price of a defensible position.

PRACTISE IT

Draw Mendelow's matrix, label the four quadrants with the strategy for each, and explain what management should do when a high-power stakeholder's interest suddenly rises.

MODEL ANSWER

Compare against what a full-mark answer contains

Draw the grid with **power** on one axis and **level of interest** on the other, and name the quadrants correctly: low/low **minimal effort**, low power–high interest **keep informed**, high power–low interest **keep satisfied**, high/high **key players**.

The second half is the discriminating part. A high-power, low-interest stakeholder who becomes interested moves from "keep satisfied" to "key player", so the treatment must change with the position: that stakeholder must now be involved in the decision and the strategy must be acceptable to them, not explained afterwards. Hence the model is dynamic — stakeholders are mapped **for a specific decision**, not once for the organisation, and a strategy touching a lender's security or a regulator's remit itself moves

stakeholders into the key-player box. If a strategy is unacceptable to a key player it must be modified, dropped, or the stakeholder brought along before commitment.

Unit 4 — Strategic Choices

Units 2 and 3 tell the firm where it stands. This unit is the menu of what it can do about it and the four matrices that generate and screen the options. Each matrix is drawable in a minute, and in a scenario question the drawing plus correct placement of the facts is most of the mark.

The menu of strategic choices

CHOICE	WHAT IT IS	APPROPRIATE WHEN
Market development	Existing products into new markets — geography, segment or channel	The home market is saturating
Product development	New or modified products for existing customers	The customer relationship is strong, the range dated
Innovation	Something materially new — product, process or business model	A shift extension will not hold
Concentric diversification	A **related** new business sharing technology, market, channel or skill	There is a real link to exploit

CHOICE	WHAT IT IS	APPROPRIATE WHEN
Conglomerate diversification	An **unrelated** new business; the logic is financial	Risk spreading, or surplus cash
Horizontal integration	A firm at the **same stage** of the same industry	Scale, share or capacity
Vertical integration	A **different stage of the same chain** — back to suppliers, forward to channels	Supply or access is unreliable, or that margin is worth capturing
Turnaround	Keep it and fix it — cost cuts, asset reduction, refocus, new management	Decline is recent and reversible
Divestiture	Sell or spin off a unit; the rest continues	Worth more to another owner
Liquidation	Close and sell the assets; exit	No buyer and no viable fix

Four pairs get conflated, and the marks are in the distinction:

- **Concentric versus conglomerate** — relatedness. Concentric shares something operational (technology, customers, channel, brand, skill), so synergy can be claimed; conglomerate shares nothing operational, so its only case is risk spreading or surplus funds, and its typical failure is management that does not understand the new business.
- **Horizontal versus vertical** — direction. Horizontal moves **sideways** at the same stage, so the firm does more of what it already does; vertical moves **along** the chain into work it has never done. A biscuit maker buying another biscuit maker is horizontal; buying its flour mill is backward vertical; buying its distributor is forward vertical.
- **Turnaround, divestiture, liquidation** — escalating severity, each with a test. Viable if fixed? Worth more to someone else? Any buyer or fix at all? The answer follows from the test.
- **Market development, product development, diversification** — which of market and product is new. That is Ansoff's entire point.

REMEMBER THIS

Every strategic-choice question reduces to "what is new here — the product, the market, both, or the stage of the value chain?"

Classify the situation first; the label follows. Then give the condition that makes the choice appropriate and the risk that makes it dangerous. The examiner is testing classification and judgement, not ten definitions.

Ansoff's Matrix

Ansoff's product-market matrix crosses **products** (existing, new) with **markets** (existing, new). Risk rises as you move away from the top-left corner.

		PRODUCTS	
		EXISTING	NEW
		+----------	----------
EXISTING		MARKET PENETRATION	PRODUCT DEVELOPMENT
M		sell more of the same to the same buyers	new products to the same customers
A		lowest risk	moderate risk
R			
K			
E			
T		MARKET DEVELOPMENT	DIVERSIFICATION
S	NEW	same products to new markets or segments	new products to new markets highest risk; concentric or conglomerate
		moderate risk	

What the manager does with the output. Generate all four options before choosing, then price the risk: penetration uses known products in known markets and is cheapest to test, diversification changes both variables at once and needs capability the firm may not have.

BCG Matrix

Relative market share (the unit's share against the largest competitor's) against market growth rate. A portfolio tool, so it is used at corporate level across units or products.

```
                        RELATIVE MARKET SHARE
                    HIGH                    LOW
              +----------------------+----------------------+
              |  STARS               |  QUESTION MARKS      |
     HIGH     |  high growth,        |  (problem children)  |
              |  high share          |  high growth,        |
M             |  cash use ~ cash gen |  low share           |
A             |  STRATEGY: build /   |  cash absorbing      |
R             |  invest to hold      |  STRATEGY: build     |
K             |  leadership          |  selectively, or     |
E             |                      |  divest              |
T             +----------------------+----------------------+
              |  CASH COWS           |  DOGS                |
G  LOW        |  low growth,         |  low growth,         |
R             |  high share          |  low share           |
O             |  strong net cash     |  little cash either  |
W             |  generator           |  way                 |
T             |  STRATEGY: hold and  |  STRATEGY: divest or |
H             |  harvest; fund the   |  liquidate; retain   |
              |  rest of the group   |  only for a reason   |
              +----------------------+----------------------+

Cash logic: cows fund stars and the selected question marks.
Desired path: question mark -> star -> cash cow.  Failure path:
question mark -> dog, or a starved star sliding into a dog.
```

What the manager does with the output. Allocate the group's cash: **build** (stars and question marks worth backing), **hold** (strong cows), **harvest** (weak cows and question marks not worth backing), **divest** (dogs) — then check balance: all cows means no future, all question marks means no cash.

EXAM TRAP

Using absolute market share, or the company's own growth rate, on the BCG axes

> Both axes are specific. The horizontal axis is **relative** share — the unit's divided by the largest rival's — so 20% is high against a leader at 12% and low against a leader at 45%. The vertical axis is the **market's** growth, not the unit's sales growth. Get either wrong and every unit lands in the wrong cell, which costs the question rather than a mark. And a low-share unit in a *growing* market is a question mark, not a dog.

GE Matrix — nine cells

The GE matrix answers the criticism that BCG uses one measure per axis. Both axes are **composites: industry attractiveness** (size, growth, margins, competitive intensity, regulation) and **business strength** (relative share, margins, brand, technology, cost position, management).

```
                        INDUSTRY ATTRACTIVENESS
                  HIGH             MEDIUM             LOW
             +---------------+---------------+---------------+
STRONG       | INVEST /      | INVEST /      | SELECTIVITY / |
             | GROW          | GROW          | EARNINGS      |
B            | protect and   | invest to     | manage for    |
U            | build         | build         | earnings      |
S            +---------------+---------------+---------------+
I AVERAGE    | INVEST /      | SELECTIVITY / | HARVEST /     |
N            | GROW          | EARNINGS      | DIVEST        |
E            | build         | protect and   | limited       |
S            | selectively   | refocus       | expansion     |
S            +---------------+---------------+---------------+
.  WEAK      | SELECTIVITY / | HARVEST /     | HARVEST /     |
             | EARNINGS      | DIVEST        | DIVEST        |
STRENGTH     | build on      | manage for    | exit; cut     |
             | strengths     | cash          | fixed cost    |
             +---------------+---------------+---------------+

Three zones, read on the diagonal:
  top-left triangle      -> invest and grow
  the diagonal band      -> selectivity, manage for earnings
  bottom-right triangle  -> harvest or divest
```

What the manager does with the output. Rank investment by zone — and, because the axes are composites, argue about the weights, which is the point. Circles on a GE grid are conventionally sized by market size with a slice for the unit's share, so one diagram carries position, prize and the firm's share of it.

ADL Matrix

Stage of industry maturity against competitive position. Its contribution is putting the life cycle on an axis, so a

weak player in an embryonic industry is treated differently from one in an ageing industry.

```
                    STAGE OF INDUSTRY MATURITY
                EMBRYONIC    GROWTH      MATURE      AGEING
              +-----------+-----------+-----------+-----------+
DOMINANT      |     N     |     N     |     N     |    N/S    |
              +-----------+-----------+-----------+-----------+
STRONG        |     N     |     N     |     N     |     S     |
C             +-----------+-----------+-----------+-----------+
O FAVOURABLE  |    N/S    |     S     |     S     |    S/P    |
M             +-----------+-----------+-----------+-----------+
P TENABLE     |     S     |     S     |     P     |     W     |
.             +-----------+-----------+-----------+-----------+
POS.  WEAK    |     P     |     P     |     W     |     W     |
              +-----------+-----------+-----------+-----------+

The four generic strategic thrusts:
  N = natural development   -- fund it fully; the position deserves it
  S = selective development -- back only the segments where it can win
  P = prove viability       -- limited, conditional investment; earn the right
  W = withdraw              -- divest or liquidate
```

Learn the **two axes with their four and five labels** and the **four thrusts**, plus the pattern: natural development top-left, withdrawal bottom-right, freedom narrowing as maturity rises and position weakens. The thrust, not the cell, is the answer.

> ***Verify:*** *presentations of the ADL matrix differ — some editions add a sixth competitive position ("non-viable"), and the cell-by-cell allocation of thrusts is not identical everywhere. Confirm the version in your attempt's Study Material.*

QUICK RECALL

Two units both hold a weak position — one in an embryonic industry, one in an ageing one. Why does ADL separate them and BCG does not?

Because ADL's horizontal axis is maturity, which distinguishes "too early to tell" from "too late to fix". The embryonic unit is asked to **prove viability** — the industry has not settled and a position is still winnable; the ageing one is told to **withdraw**, since neither industry nor position will improve. BCG separates them only by market growth.

ANSWER LADDER

A mid-sized paint company sells to retail customers in three states. Volume growth has fallen to 2% as those states saturate; the firm has cash, a recognised brand and a strong dealer network. Recommend a growth strategy.

WOULD LOSE MARKS

Ansoff's Matrix has four cells — market penetration, market development, product development and diversification — of which penetration is least risky and

diversification most risky. The company should choose whichever suits it best.

PASSING

Applies the matrix to the firm. Penetration is nearly exhausted, since the three states are saturating and growth has fallen to 2%. Market development means the existing paints in new states; product development means new products for the existing dealers and customers; diversification would be riskiest. Both middle options look feasible given the cash and the brand.

FULL MARKS

The same, decided on the firm's own assets and closed with the risk. Penetration is ruled out by the facts — 2% growth in saturating states. The transferable strengths are the **brand** and the **dealer network**; a dealer network is state-specific and must be rebuilt in a new state, whereas new products travel through the network the firm already controls, so product development

exploits the existing asset and market development recreates it. **Recommendation:** lead with **product development** — adjacent lines such as waterproofing for the same buyers through the same dealers — and phase market development into one contiguous state as a funded pilot rather than three at once. Reject diversification: cash without capability in an unrelated business is the standard reason conglomerate diversification destroys value. **Risk:** a wider range dilutes management attention and a quality failure damages the brand carrying the whole portfolio, so each new line needs a stage-gate, not an open commitment.

CASE STUDY

The unit that pays for everything

SYMPTOM

A listed group has three businesses. **Packaging** earns 70% of group profit and

holds 34% share, with its largest competitor at 30%, in a market growing 3% a year. **Speciality chemicals** has 6% share against a leader at 28%, in a market growing 22%, and has consumed cash for four years. **Printing consumables** has 4% share against a leader at 26%, in a market shrinking 5% a year, and has broken even for three years.

SIGNALS

The board proposes to fund the chemicals expansion by cutting packaging's maintenance and marketing budget, and to keep printing consumables because "it covers its own costs and the plant is written down."

DIAGNOSE IT

Place the three units on the BCG matrix. Is the board's funding proposal sound, and what would you recommend for each unit?

THE ANSWER

Place the three units on the BCG matrix. Is the board's funding proposal sound,

and what would you recommend for each unit?

ROOT CAUSE

Packaging is a cash cow — relative share 34/30 exceeds one, so it is the market leader, and growth of 3% is low. **Speciality chemicals** is a question mark — relative share 6/28 is well below one, growth of 22% is high, and the cash absorption is what the cell predicts. **Printing consumables** is a dog — relative share 4/26 is far below one and market growth is negative.

The board is half right. Funding a question mark out of a cash cow is the cash logic the matrix prescribes, so the direction of the money is correct; the **source** is not. Cutting a cow's maintenance and marketing does not release free cash — it converts the cow into a dog over a few years, because share in a low-growth market is held by exactly that spending. A cow is harvested by taking its surplus, not by starving the asset that generates it. The unexamined "keep" on printing consumables is the second flaw: breaking even in a shrinking market still consumes attention and working capital while

terminal value falls, and the written-down plant is irrelevant to a decision that turns on what the assets and customer list would realise now.

Recommendation. Hold and harvest packaging, funding chemicals from its surplus rather than its cost base. On chemicals, set a share and margin milestone at which further investment is justified and treat divestiture as the live alternative while the market is growing and buyers exist — "build selectively or divest", since the group cannot fund a share war against a rival nearly five times its size. Divest or liquidate printing consumables. Finally, state what the matrix cannot see: whether the units share customers, channels or technology, since a dog carrying a cow's customer relationship may be worth keeping for a reason the grid does not capture.

PRACTISE IT

Draw Ansoff's Matrix and the BCG Matrix from memory, label all eight cells, and state what a manager decides with each matrix's output.

MODEL ANSWER

Compare against what a full-mark answer contains

Ansoff — products (existing, new) against markets (existing, new): **market penetration**, **product development**, **market development**, **diversification**. Output: growth options ranked by risk, rising away from penetration.

BCG — relative market share against market growth: **stars**, **question marks**, **cash cows**, **dogs**. Output: cash allocated through build, hold, harvest and divest, plus a balance check between cash generators and future earners.

The axis definitions are where marks go: Ansoff's axes are about **newness**, BCG's are **relative** share and the **market's** growth. In a scenario, place each named unit in a cell, justify it

from the figures given, and only then recommend.

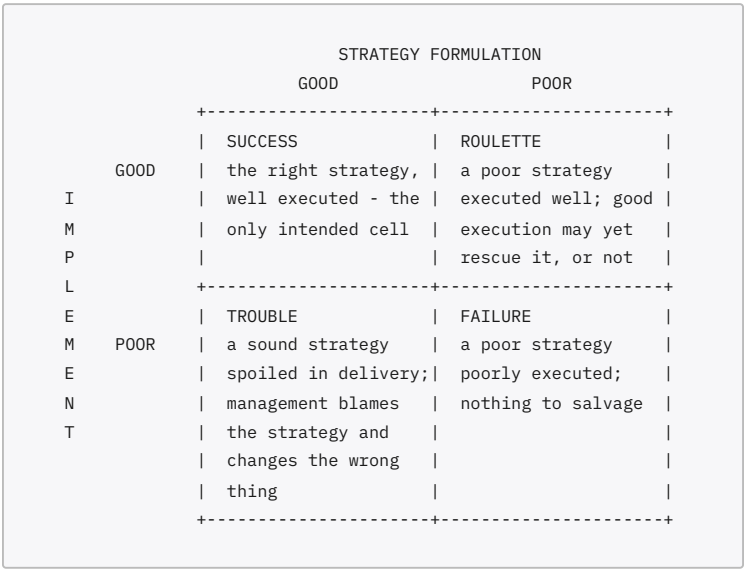
Unit 5 — Strategy Implementation and Evaluation

A strategy that exists only on paper has produced nothing. This unit turns the Unit 4 choice into structure, behaviour and measurement — and asks, while it runs, whether it is still the right strategy.

Formulation versus implementation

	STRATEGY FORMULATION	STRATEGY IMPLEMENTATION
The work	Positioning the firm against its environment	Managing forces inside the firm while it operates
Character	Entrepreneurial, analytical, judgemental	Administrative, operational, behavioural

	STRATEGY FORMULATION	STRATEGY IMPLEMENTATION
Who	A few people at the top	Many people at every level
Skills	Analysis, conceptual thinking, intuition	Leadership, motivation, coordination, control
Timing	Before resources are committed	After, and continuously
Emphasis	Effectiveness — the right things	Efficiency — things done right
Failure	The wrong direction chosen	The right direction not delivered



> ***Verify:*** *the two off-diagonal cells are the ones whose labels differ between presentations of this matrix. Confirm which of "roulette" and "trouble" your attempt's Study*

> *Material attaches to each combination before reproducing it.*

Linkages and issues. The **forward linkage** runs from formulation to implementation: the strategy chosen dictates the structure, systems, resource allocation and skills to be put in place, so a diversification and a cost-leadership strategy need different organisations. The **backward linkage** runs the other way: existing structure, culture and capability constrain which strategies are realistic. The recurring **issues** are resource allocation to the new priorities rather than the old, fit of structure and systems to the strategy, leadership, culture and resistance, sequence and timing, and rewards still pointing at the previous objectives.

REMEMBER THIS

Formulation asks what to do; implementation asks how, by whom, with what and by when. Most strategies fail in the second question.

Where a question asks you to discuss implementation issues, the marks are on internal mechanics — structure, systems, resources, people, culture, timing, control — not on re-justifying the strategy. Re-arguing

> the choice is the commonest way to answer the wrong question.

Strategic change through digital transformation

Three words are not interchangeable. **Digitisation** converts information to digital form. **Digitalisation** uses digital technology to run existing processes better. **Digital transformation** changes the **business model, the value proposition and the customer experience** — what the firm sells, to whom, and how it captures value. That is why it sits here: it is strategic change, managed as change.

1. Establish the case and the urgency — what makes the current model unsustainable.
2. Set the vision for the changed business, in customer outcomes, not technology.
3. Assess the capability gap: data, skills, systems, processes, partners.
4. Pilot narrow, learn, then scale — evidence beats resistance more cheaply than argument.

5. Realign the hard elements: structure, roles, decision rights, targets, reward.
6. Build the soft side until the new way survives without sponsorship.

Enablers: leadership sponsorship, usable data and integrated systems, skills, iterative working, and controls over privacy and cyber risk. **Barriers:** legacy systems and hard-wired processes, skill gaps, culture and resistance, cost against an uncertain return, unclear ownership, security exposure, and change fatigue.

> ***Verify:*** *this vocabulary is a recent addition and the terms and stage lists differ between editions. Use your attempt's Study Material wording for any list you must reproduce.*

Organisation structure (hard) and culture (soft)

	STRUCTURE — THE HARD SIDE	CULTURE — THE SOFT SIDE
What it is	Reporting lines, departments, decision rights, systems, procedures, targets	Shared beliefs, values, assumptions, habits, informal networks
Visibility	Visible; can be drawn	Invisible; inferred from behaviour

	STRUCTURE — THE HARD SIDE	CULTURE — THE SOFT SIDE
How it changes	By management decision, quickly	Slowly, by consistent behaviour and example; cannot be mandated
Imitability	Easily copied	Very hard to copy, so a source of advantage
Failure mode	A structure that no longer fits the strategy	A culture that quietly defeats the structure

The structural forms, one line each: **functional** (by activity — efficient, weak across products); **divisional** (by product, market or geography — accountable, duplicative); **strategic business unit** (related divisions under one head, to make a large portfolio governable); **matrix** (dual reporting — flexible, conflicting authority); **network** (a small core coordinating outsourced partners — flexible, dependent, hard to control).

Both sides must move together. Redrawing the chart while leaving culture untouched produces a new structure operated by old behaviour; announcing values while targets and rewards still point at the old strategy produces cynicism. Where the two conflict, culture usually wins, because it decides what people do when nobody is checking.

EXAM TRAP

Treating culture as a detail that "will follow" once the structure changes

Culture is the slowest element to change and the one that decides whether the structure functions. An implementation answer that lists structure, systems and resources but never reaches culture, resistance and reward alignment leaves marks on the table — and this is precisely where the hard/soft distinction is examined. Say which changes are hard (fast, by decision) and which are soft (slow, by behaviour and example), and that the soft work must start earliest.

Strategic leadership

Strategic leadership is the capacity to set direction and get an organisation to move in it. Its tasks: **communicating the direction**, **building the capability** the strategy needs, **allocating resources** consistently with the choice made, **shaping culture** by example and by what gets rewarded, **sustaining the change** past the point where enthusiasm fades, and **developing successors**. Two styles are contrasted: **transformational**,

which changes what people aspire to and suits major strategic change, and **transactional**, which works through targets, monitoring and reward and suits executing an agreed strategy efficiently. Strategy and situation decide which fits.

Strategic control

Strategic control steers the strategy **while it is being executed**, because the assumptions it rested on can change before it is finished. Four types:

TYPE	QUESTION IT ASKS	TRIGGER AND PACE
Premise control	Are the assumptions the strategy was built on still true?	Continuous, focused on those specific premises
Implementation control	Is execution on track, and do the results so far justify continuing?	At milestones; can conclude the strategy should be abandoned
Strategic surveillance	Is anything happening anywhere that could affect the strategy?	Broad, deliberately unfocused scanning
Special alert control	A sudden unexpected event has occurred — does the strategy still hold?	Reactive, immediate

	STRATEGIC CONTROL	OPERATIONAL CONTROL
Object	The strategy and its premises	Current operations against plan or standard
Horizon	The whole period of the strategy	A month, a quarter
Question	Are we doing the right things?	Are we doing things right, within budget?
Data	Largely external, qualitative	Largely internal, quantitative
Correction	May change the strategy itself	Brings performance back to the existing plan
Who	Top management	Line and functional management

The distinction that earns the mark: operational control corrects performance **against** the plan; strategic control is willing to conclude that the **plan itself** is wrong.

Strategic performance measures

Measures exist so that control has something to work with. A good set is derived from the objectives, **few** enough to focus attention, a mix of **financial** and **non-financial** and of **lagging** and **leading** indicators, within someone's control, and comparable over time and

against competitors. Financial: profitability, revenue growth, return on capital employed, margins, cash generation. Non-financial: market share, customer satisfaction and retention, quality and defect rates, delivery reliability, employee retention and skills, innovation, sustainability. The non-financial ones usually lead — satisfaction falls before revenue does, which is why a purely financial set reports problems too late to act on. When the strategy changes the measures must change with it.

> ***Verify:*** *the named set of performance measures and measurement frameworks for this topic varies between editions and by the Study Guidelines for the attempt.*

QUICK RECALL

Sales are ahead of budget, but the strategy assumed the market would grow 15% and it grew 4%. Which control has been breached?

Premise control. The assumption the strategy was built on has failed even though implementation is running ahead of plan — beating budget in a 4% market may mean share is being won, but the strategy's basis has changed. Operational control

would report a favourable variance and miss it entirely.

ANSWER LADDER

A manufacturer restructured into three product divisions eighteen months ago to support a differentiation strategy. Divisional heads still refer decisions to the managing director, launches are late, and staff say "nothing has really changed." Advise.

WOULD LOSE MARKS

The company should implement the new structure properly and instruct staff to follow it, and the managing director should stop interfering in divisional matters.

PASSING

Identifies a hard change without a matching soft change. The structure was altered but culture, decision rights and rewards were not, so behaviour stayed centralised. Recommends delegating authority formally, aligning divisional

targets and rewards to divisional results, and communicating consistently.

FULL MARKS

The same diagnosis in the unit's own terms, decided on the facts given. This is a **forward linkage** failure: differentiation required fast decentralised decisions and the structure was changed to provide them, but the hard change was left incomplete — decision rights, budgets and rewards still sit centrally — and the soft change was never begun. The evidence is in the facts: referral upward is a decision-rights problem, late launches are the consequence, and "nothing has really changed" is culture reporting that behaviour has not moved. **Recommendation:** complete the hard side first, because it is fast and visible — write down what each divisional head may decide unaided, move budget authority down, reset targets and incentives to divisional outcomes. Then work the slow soft side: the managing director must visibly stop accepting referred decisions, since one reversal

teaches more than any announcement. Add implementation control with a six-month milestone review — and if divisional results show the differentiation strategy itself is failing, the answer is premise control, not more restructuring.

PRACTISE IT

Distinguish strategic control from operational control, name the four types of strategic control, and give one situation each type would detect that the others would miss.

MODEL ANSWER

Compare against what a full-mark answer contains

Separate the two on **object, horizon, question, data and the kind of correction**, and state the core difference: operational control corrects performance against the existing plan,

while strategic control is prepared to conclude that the plan is wrong.

- **Premise control** — the strategy assumed a tariff would stay and it has been withdrawn. No internal report shows this; only a check of the premises does.
- **Implementation control** — two years into a five-year capacity programme the first two plants run at half the assumed utilisation, which raises whether to continue at all, not how to catch up.
- **Strategic surveillance** — an unrelated industry's technology becomes a substitute. No premise mentioned it and no milestone catches it; broad scanning does.
- **Special alert control** — a fire at the sole supplier's plant, or a sudden regulatory ban, needing immediate reassessment rather than a scheduled review.

The last mark is for the point that these are complementary: a firm running only implementation control will execute an obsolete strategy competently.

REVISION CHECKLIST

Frameworks you must be able to draw and label from memory. For each, the axes are the mark:

- **PESTLE** — six heads: political, economic, social, technological, legal, environmental. Run country by country for the international environment.
- **Porter's Five Forces** — new entrants, buyers, suppliers, substitutes, rivalry in the centre; gives the profit available in the industry.
- **Value chain (Porter)** — five primary activities (inbound logistics, operations, outbound logistics, marketing and sales, service), four support activities (firm

infrastructure, HRM, technology development, procurement), plus margin.

- **Product life cycle** — introduction, growth, maturity, decline, with the strategy for each stage.
- **Mendelow's model** — power against level of interest: minimal effort, keep informed, keep satisfied, key players.
- **SWOT** — internal/external against helpful/harmful, and the four pairings SO, ST, WO, WT.
- **Porter's generic strategies** — advantage (cost, differentiation) against scope (broad, narrow): cost leadership, differentiation, cost focus, differentiation focus, and stuck in the middle.
- **Ansoff's Matrix** — products against markets: market penetration, product development, market development, diversification.
- **BCG Matrix** — relative market share against market growth: stars, question marks, cash cows, dogs; build, hold, harvest, divest.
- **GE Matrix** — industry attractiveness against business strength, nine cells, three zones:

invest/grow, selectivity/earnings, harvest/divest.

- **ADL Matrix** — industry maturity (embryonic, growth, mature, ageing) against competitive position (dominant, strong, favourable, tenable, weak); thrusts of natural development, selective development, prove viability, withdraw.
- **Formulation–implementation matrix** — success, roulette, trouble, failure.
- **Strategic levels** — network, corporate, business, functional. Network is the one candidates omit.

Attributions to keep straight. Porter owns the five forces, the value chain and the generic strategies. Ansoff owns the product-market matrix. Mendelow owns the stakeholder grid. BCG, GE and ADL are firm-named matrices, not personal ones.

Term pairs the examiner separates. Vision / mission / goals / objectives / values. Strategy formulation / implementation. Concentric / conglomerate diversification. Horizontal / vertical integration. Turnaround / divestiture / liquidation. Strategic control / operational

control. Digitisation / digitalisation / digital transformation. Structure (hard) / culture (soft).

The answer-technique rule, worth more than any single framework. Name the framework and say why it fits; apply it to the facts given, naming those facts; conclude with a recommendation. Describing a framework without applying it to the scenario is the single most common way marks are lost here, and an analysis that never decides is unfinished.

What to verify against the Study Guidelines and current Study Material for your attempt. The goals-versus-objectives wording; the labelling of the two off-diagonal cells of the formulation–implementation matrix; whether your edition's ADL matrix uses a sixth "non-viable" position, and its cell-by-cell allocation of thrusts; the digital transformation terminology and stage lists; and the named set of strategic performance measures. ICAI resets inclusions and exclusions every year through the Study Guidelines, and these notes cannot substitute for them.